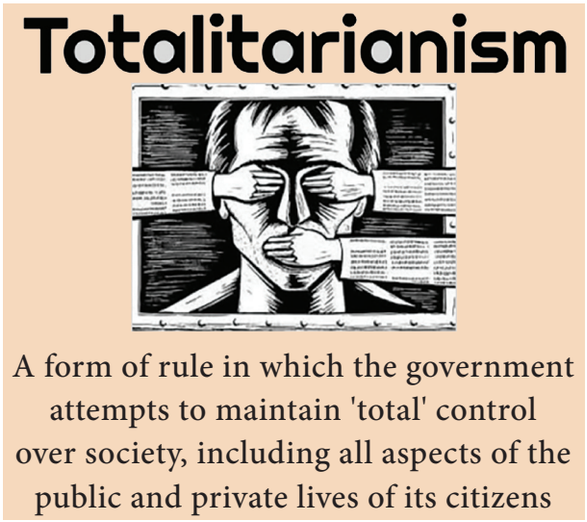
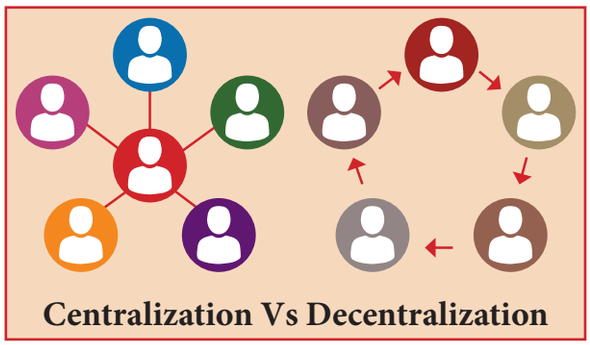
1. Democratic Vs Totalitarian:



Democratic planning implies planning within democracy. People are associated at every step in the formulation and implementation of the plan. A democratic plan is characterized by the widest possible consultations with the various state governments and private enterprises at the stage of preparation. The plan prepared by the Planning Commission is not accepted as such. It can be accepted, rejected or modified by the Parliament of the country.

Under totalitarian planning, there is central control and direction of all economic activities in accordance with a single plan. Consumption, production, exchange, and distribution are all controlled by the central planning authority. In authoritarian planning, the planning authority is the supreme body. It decides about the targets, schemes, allocations, methods and procedures of implementation of the plan.

2. Centralized Vs Decentralized: Under centralized planning, the entire planning process in a country is under a central planning authority. This authority formulates a central plan, fixes objectives, targets and priorities for every sector of the economy. In other words, it is called 'planning from above'.


Centralization Vs Decentralization

Under decentralized planning local organizations and institutions formulate, adopt, execute and supervise the plan without interference by the central authorities. In other words, it is called 'planning from below'.

3. Planning by Direction Vs Inducement: Under planning by direction, there is a central authority which plans, directs and orders the execution of the plan in accordance with pre-determined targets and priorities.

Under planning by inducement, the people are induced to act in a certain way through various monetary and fiscal measures. If the planning authority wishes to encourage the production of a commodity, it can give subsidy to the firms. Thus, planning by inducement is able to achieve the same results as under planning by direction but with less sacrifice of individual liberty.

4. Indicative Vs Imperative Planning: Indicative planning is peculiar to the mixed economies. It has been in practice

12-Economics-Chapter_11.indd 249 23-12-2022 14:46:17